

ficial to people, regardless of the color of their skin and their origins from countries of quite different economic backgrounds. Though the performance-goal plan was first initiated in the United States, equally striking results have appeared not just in Texas Instruments plants in the so-called developed industrial nations such as France and Japan but also in Singapore, with its native Asian employees, and in Curaçao, where those on the payroll are overwhelmingly black. In all countries the morale effects appear striking when worker teams not only report directly to top management levels but also know their reports will be heeded and their accomplishments recognized and acknowledged.

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*For the conservative investor, the test of all such actions is whether management is truly building up the long-range profits of the business rather than just seeming to.*

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What all this has meant to investors was spelled out when company president Mark Shepherd, Jr., addressed stockholders at the 1974 annual meeting. He stated that a people-effectiveness index had been established consisting of the net sales billed divided by the total payroll. Since semiconductors, the company's largest product line, are one of the very few products in today's inflationary world that consistently decline in unit price and since wages have been rising at the company's plants at rates from 7 percent a year in the United States to 20 percent in Italy and Japan, it would be logical to expect, in spite of improvements in people-effectiveness, this index to decline. Instead it rose from about 2.25 percent in 1969 to 2.5 percent by the end of 1973. Furthermore, with definite plans for additional improvement and with further increases in profit-sharing funds tied